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SHANGHAI JUNSHI BIOSCIENCES CO., LTD.*

上海君實生物醫藥科技股份有限公司

(a joint stock company incorporated in the People's Republic of China with limited liability)

(Stock code: 1877)

OVERSEAS REGULATORY ANNOUNCEMENT

This announcement is made pursuant to Rule 13.10B of the Rules Governing the Listing of Securities on The Stock Exchange of Hong Kong Limited.

Reference is made to the "Shanghai Junshi Biosciences Co., Ltd.* Announcement Regarding the Grant of Restricted Shares Under the Reserved Grant to the Participants" published by Shanghai Junshi Biosciences Co., Ltd.* on the website of the Shanghai Stock Exchange, for reference purpose only. The following is a translation of the official announcement solely for the purpose of providing information. Should there be any discrepancies, the Chinese version will prevail.

By order of the Board
Shanghai Junshi Biosciences Co., Ltd.*
Mr. Xiong Jun
Chairman

Shanghai, the PRC, 15 November 2021

As at the date of this announcement, the board of directors of the Company comprises Mr. Xiong Jun, Dr. Li Ning, Dr. Feng Hui, Mr. Zhang Zhuobing, Dr. Yao Sheng and Mr. Li Cong as executive Directors; Dr. Wu Hai, Mr. Tang Yi and Mr. Lin Lijun as non-executive Directors; and Dr. Chen Lieping, Mr. Qian Zhi, Mr. Zhang Chun, Dr. Jiang Hualiang and Dr. Roy Steven Herbst as independent non-executive Directors.

* *For identification purposes only*

SHANGHAI JUNSHI BIOSCIENCES CO., LTD.* ANNOUCEMENT REGARDING THE GRANT OF RESTRICTED SHARES UNDER THE RESERVED GRANT TO THE PARTICIPANTS

The Board of Directors and all Directors of the Company warrant that there are no false representations, misleading statements or material omissions contained in this announcement, and accept legal responsibility for the authenticity, accuracy and completeness of the information contained herein.

Important Notice:

- Grant date of the Restricted Shares: 15 November 2021;
- The number of Restricted Shares granted: 7,129,000 shares, accounting for approximately 0.78% of the current total share capital of the Company;
- The share incentive scheme: Type II Restricted Shares.

The conditions of the grant of Restricted Shares under the Reserved Grant set out in the 2020 Restricted Share Incentive Scheme (the "Incentive Scheme") of Shanghai Junshi Biosciences Co., Ltd.* (the "Company") are satisfied. Pursuant to the authorization granted at the 2020 third extraordinary general meeting, the 2020 second class meeting of A shareholders and the 2020 second class meeting of H Shareholders of the Company, the Company convened the fifth Board Meeting of the third session of the Board of Directors and the fourth meeting of the third session of the Board of Supervisors on 15 November 2021, the Resolution on the Grant of Restricted Shares Under the Reserved Grant to Participants was considered and approved. It is confirmed that the Grant Date of the Reserved Grant shall be 15 November 2021, and 7,129,000 Restricted Shares will be granted to 880 Participants at the Grant Price of RMB55.50 per share. The relevant matters are explained as follows:

I. Grant of Restricted Shares

(I) Decision-making procedures performed and information disclosure of the Restricted Share Incentive Scheme

1. On 29 September 2020, the Company convened the twenty-seventh meeting of the second session of the Board of Directors and the twenty-second meeting of the second session of the Board of Supervisors, at which the Resolution on the 2020 Restricted Share Incentive Scheme (Draft) and its Summary and other relevant resolutions were considered and approved. The independent non-executive Directors of

the Company have expressed their concurring independent opinion on such matter. The Board of Supervisors of the Company verified relevant matters of the Incentive Scheme and issued relevant verification opinion. On 30 September 2020, the Company published relevant announcement on the website of the Shanghai Stock Exchange (www.sse.com.cn).

2. On 30 September 2020, the Company published the Announcement on Public Solicitation of Voting Rights by Proxy Form by Independent Non-Executive Directors of Shanghai Junshi Biosciences Co., Ltd.* (Announcement No.: Lin 2020-028) on the website of the Shanghai Stock Exchange (www.sse.com.cn). Pursuant to the proxy forms of other independent non-executive Directors of the Company, Mr. Zhang Chun, an independent non-executive Director and being the soliciting party, solicited voting rights from all A Shareholders of the Company in respect of the relevant resolutions of the Incentive Scheme considered at the 2020 third extraordinary general meeting and the 2020 second class meeting of A Shareholders of the Company.

3. From 30 September 2020 to 9 October 2020, the Company posted an internal notice on the names and positions of the proposed Participants for a total of 10 days. Employees of the Company may submit their opinions to the Board of Supervisors of the Company. As of the end of the notification period, the Board of Supervisors of the Company had not received any objection from any person regarding the proposed Participants. On 15 October 2020, the Company published the Announcement on the List of Participants under the First Grant of the 2020 Restricted Share Incentive Scheme, and Verification Opinion of the Board of Supervisors of Shanghai Junshi Biosciences Co., Ltd.* (Announcement No.: Lin 2020-031) on the website of the Shanghai Stock Exchange (www.sse.com.cn).

4. On 16 November 2020, the Company convened the 2020 third extraordinary general meeting, the 2020 second class meeting of A Shareholders and the 2020 second class meeting of H Shareholders, at which the Resolution on the Company's 2020 Restricted Share Incentive Scheme (Draft) and its Summary and other relevant resolutions were considered and approved. The implementation of the Incentive Scheme of the Company was approved at the general meetings, and the Board of Directors was authorized to determine the Grant Date of the Restricted Share, grant Restricted Shares to eligible Participants and conduct all matters necessary for the grant of the Restricted Shares. On 17 November 2020, the Company published the Announcement of Resolutions of the 2020 Third Extraordinary General Meeting, the 2020 Second Class Meeting of A Shareholders and the 2020 Second Class Meeting of H Shareholders of Shanghai Junshi Biosciences Co., Ltd.* (Announcement No.: Lin 2020-036) on the website of the Shanghai Stock Exchange (www.sse.com.cn). In the meantime, the Company conducted a self-inspection on the trading of shares of the Company by insiders and Participants during the six months prior to the publication of the Announcement on the 2020 Restricted Share Incentive Scheme (Draft) of Shanghai Junshi Biosciences Co., Ltd.*, and no share trading attributable to the use of the inside information was identified. On 17 November 2020, the Company published the Self-inspection Report on the Trading of Shares of the Company by Insiders and Participants

of the 2020 Restricted Share Incentive Scheme of Shanghai Junshi Biosciences Co., Ltd.* (Announcement No.: Lin 2020-037) on the website of Shanghai Stock Exchange (www.sse.com.cn).

5. On 16 November 2020, the Company convened the twenty-ninth meeting of the second session of the Board of Directors and the twenty-fourth meeting of the second session of the Board of Supervisors, at which the Resolution on the Adjustment of the List of Participants and the Number of Restricted Shares to be Granted for the First Grant of the 2020 Restricted Share Incentive Scheme, the Resolution on the First Grant of Restricted Shares to Participants and other relevant resolutions were considered and approved. The independent non-executive Directors of the Company have expressed their concurring independent opinions on such matter. The Board of Supervisors of the Company has reviewed and expressed verification opinion on relevant matters mentioned above.

6. On 15 November 2021, the Company convened the fifth meeting of the third session of the Board of Directors and the fourth meeting of the third session of the Board of Supervisors, at which the Resolution on the Grant of Restricted Shares under the Reserved Grant to the Participants, the Resolution on the Nullification of the Restricted Shares Granted but yet to be Attributed under the 2020 Restricted Share Incentive Scheme and the Resolution on the Attribution Condition Fulfilled during the First Attribution Tranche of the First Grant of the Restricted Shares under the 2020 Restricted Share Incentive Scheme of the Company were considered and approved. The independent non-executive Directors of the Company have expressed their views on the abovementioned resolutions, and the Supervisory Committee has verified and expressed their verification opinions on the list of Participants of the Reserved Grant on the Grant Date and the list of Participants who fulfilled the attribution conditions for the first attribution tranche of the First Grant.

(II) Explanation by the Board of Directors on the satisfaction of conditions for the Grant and the opinions of the independent non-executive Directors and the Board of Supervisors

1. Explanation by the Board of Directors as to whether the conditions for the Grant have been satisfied

According to the provisions on granting conditions in the Incentive Scheme, the Participants must meet all of the following conditions:

(1) None of the following has occurred on the part of the Company:

① An audit report on the financial and accounting report for the most recent financial year in which a certified public accountant issued an adverse opinion or was unable to express an opinion;

② An audit report on internal control over financial reporting for the most recent financial year in which a certified public accountant issued an adverse opinion or was unable to express an opinion;

③ in the most recent 36 months upon listing, there have been cases of failure to distribute profits according to laws and regulations, the Articles of Association of Shanghai Junshi Biosciences Co., Ltd.* (the "Articles of Association") and public undertackings;

④ Laws and regulations stipulate that equity incentives shall not be implemented;

⑤ Other circumstances as determined by the CSRC.

(2) None of the following has occurred on the part of the Participants:

① The Participant has been determined as an inappropriate candidate by the Stock Exchange within the most recent 12 months;

② The Participant has been identified as an inappropriate candidate by the CSRC and its delegated institutions within the most recent 12 months;

③ The Participant has been subject to administrative punishment or market ban measures by the CSRC and its delegated institutions due to major breach of laws and regulations in the most recent 12 months;

④ The Participant has the circumstances stipulated in the Company Law of the People's Republic of China (the "Company Law") that he/she shall not act as a director or member of the senior management of a company;

⑤ Laws and regulations stipulate that the Participant shall not participate in the equity incentives of listed companies;

⑥ Other circumstances as determined by the CSRC.

The Board of Directors is of the view that the conditions for grant of the Restricted Shares under the Reserved Grant as stipulated in the Incentive Scheme have been satisfied, and agreed that the Grant Date of the First Grant shall be 15 November 2021, and that 7,129,000 Restricted Shares will be granted to 880 Participants at the Grant Price of RMB55.50 per share.

2. Explanation by the independent non-executive Directors as to whether the conditions for the Grant have been satisfied

(1) Pursuant to the authorization granted by the 2020 third extraordinary general meeting, the 2020 second class meeting of A shareholders and the 2020 second class meeting of H Shareholders of the Company, the Board of Directors has confirmed the Grant Date of Reserved Grant under the Incentive Scheme shall be 15 November 2021, which complies with the laws and regulations including the Management Measures for Share Incentives of Listed Companies (the "Management Measures") and relevant requirements regarding the Grant Date under the Incentive Scheme.

(2) There is no circumstances where the Company will be prohibited to implement the equity incentive scheme as prescribed in the Management Measures and other laws, regulations and regulatory documents. The Company has the subject qualification to implement an equity incentive scheme.

(3) The Company confirmed that the Participants to be granted the Restricted Share under the Reserved Grant comply with the employment qualifications required by relevant laws and regulations such as the Company Law, the Securities Law of the

People's Republic of China (the "Securities Law"), the incentive participant conditions stipulated in the Management Measures and are consistent with the scope of Participants under the Incentive Scheme. The subject qualifications of such Participants to be a Participant under the Incentive Scheme are legal and effective.

(4) The implementation of the Incentive Scheme by the Company can improve the distribution mechanism that combines incentives and restraints, fully mobilize the enthusiasm and initiative of the core team of the Company, improve management efficiency and level, effectively align the interests of Shareholders and the Company with personal interests of the core team, and is conducive to the Company's sustainable development. There is no circumstances that are harmful to the interests of the listed company and all Shareholders.

In conclusion, it was agreed that the Grant Date of the Reserved Grant under the Incentive Scheme shall be 15 November 2021, and that 7,129,000 Restricted Shares will be granted to 880 Participants at the Grant Price of RMB55.50 per share.

3. Explanation by the Board of Supervisors as to whether the conditions for the Grant have been satisfied

Pursuant to relevant requirements under the Management Measures and the Incentive Scheme, the Board of Supervisors of the Company verified whether the Participants under the Incentive Scheme meet the conditions of Grant, and expressed the following verification opinion:

(1) There is no circumstances on the part of the Company and the Participants under the Grant whereby the Restricted Shares shall not be granted, the conditions for grant of the Restricted Shares to the Participants as set out in the Incentive Scheme have been satisfied.

(2) The determination of the Grant Date of the Reserved Grant under the Incentive Scheme by the Company complies with relevant requirements regarding the Grant Date under the Management Measures and the Incentive Scheme.

In light of the above, the Board of Supervisors agreed that the Grant Date of the Reserved Grant under the Incentive Scheme shall be 15 November 2021, and that 7,129,000 Restricted Shares will be granted to 880 Participants at the Grant Price of RMB55.50 per share.

(III) Particulars of the Grant

1. Grant Date of the Reserved Grant: 15 November 2021

2. Number of shares under the Reserved Grant: 7,129,000 shares

3. Number of Participants under the Reserved Grant: 880 Participants

4. Grant Price of the Reserved Grant: RMB55.50 per share

5. Source of shares: Ordinary A Shares of the Company issued by the Company to the Participants.

6. Validity period, attribution period and attribution arrangements under the Incentive Scheme:

(1) The validity period of the Incentive Scheme commences from the Grant Date of the Restricted Shares until the date on which all Restricted Shares granted to the Participants have been attributed or nullified, and such period shall not exceed 48 months.

(2) After the expiry of 12 months following the Grant Date of Restricted Shares under the Incentive Scheme and subject to the Participants having fulfilled the corresponding attribution conditions, the Restricted Shares may be attributed to the Participants in tranches in the agreed proportions. An attribution date must be a trading day within the validity period of the Incentive Scheme, and shall not fall within any of the following periods:

① within 60 days prior to the date of publication of the annual report (inclusive), or the period between the end of relevant financial year and the publication of the annual report, whichever is shorter;

② within 30 days prior to the publication of the half-year report or quarterly report (inclusive of the date of publication of such half-year or quarterly report), or the period between the end of the quarter or the half-year and the publication of the relevant report, whichever is shorter;

③ within 10 days prior to the disclosure of results preview or preliminary financial results of the Company;

④ during the period from the date of occurrence of a material event which may have considerable impact on the trading price of the shares and their derivatives of the Company, or the date of entering the decision-making process, up to 2 trading days after relevant disclosure has been made in accordance with the laws;

⑤ any other period stipulated by the CSRC and the Stock Exchange.

The above "material events" are the transactions or other significant events that should be disclosed by the Company in accordance with the requirement of the Rules Governing the Listing of Stocks on the STAR Market of Shanghai Stock Exchange (the "Listing Rules").

The following table sets out the attribution arrangements for the Restricted Shares under the Reserved Grant:

Attribution arrangement	Attribution period	Attribution percentage
First attribution tranche	From the first trading day after the expiry of 12 months following the grant date of the Restricted Shares under the Reserved Grant until the last trading day within the 24 months following the grant date of the Restricted Shares under the Reserved Grant	50%
Second attribution tranche	From the first trading day after the expiry of 24 months following the grant date of the Restricted Shares under the Reserved Grant until the last trading day within the 36 months following the grant date the Restricted Shares under the Reserved Grant	50%

Those Restricted Shares which have not been attributed during the period of their respective tranches as a result of failure to fulfil the attribution conditions are not allowed to be attributed or deferred to be attributed in the next year(s) and shall be nullified according to the provisions under the Incentive Scheme.

After the attribution conditions of the Restricted Shares are met, the Company shall handle the matters in relation to the attribution of the Restricted Shares which have met the conditions.

7. List of Participants and the grant situation

Position	**Number of Restricted Shares granted ('0,000 shares)**	**Percentage to the total number of Restricted Shares granted**	**Percentage to the current total share capital**
Other persons considered required to be incentivized by the Board of Directors (880 Participants in total)	712.90	20.00%	0.78%
Total Restricted Shares under the Reserved Grant	**712.90**	**20.00%**	**0.78%**

Note: Percentages in the above table have been subject to rounding adjustments to two decimal places.

II. Review of the list of Participants by the Board of Supervisors

The Board of Supervisors has reviewed the list of Participants of the Reserved Grant under the Incentive Scheme in accordance with relevant laws, regulations and regulatory documents, such as the Company Law, the Securities Law, the Management Measures, the Listing Rules, as well as the requirements under the Articles of Association, and has expressed verification opinion as follows:

(I) None of the following circumstances under which one shall not be a Participant as stipulated in the Management Measures has occurred to a Participant of the Reserved Grant under the Incentive Scheme:

1. the Participant has been determined as an inappropriate candidate by the stock exchange within the most recent 12 months;

2. the Participant has been identified as an inappropriate candidate by the CSRC and its delegated institutions within the most recent 12 months;

3. the Participant has been subject to administrative punishment or market ban measures by the CSRC and its delegated institutions due to major breach of laws and regulations in the most recent 12 months;

4. the Participant has the circumstances stipulated in the Company Law that he/she shall not act as a director or member of the senior management of a company;

5. laws and regulations stipulate that the Participant shall not participate in the equity incentives of listed companies;

6. other circumstances as determined by the CSRC.

(II) The Participants of the Reserved Grant under the Incentive Scheme shall exclude independent non-executive Directors, supervisors, shareholder or de facto controller individually or collectively holding more than 5% of shares of the Company, as well as their respective spouse, parents and children.

(III) The Participants of the Reserved Grant under the Incentive Scheme are other persons (excluding independent Directors and supervisors) considered by the Board of Directors of the Company to be required to be incentivized. The Participants shall have a direct influence on the operating performance and future development of the Company. The Participants of the Reserved Grant under the Incentive Scheme complies with the employment qualifications required under the laws, regulations and regulatory documents, such as the Company Law and the Securities Law, as well as the requirements under the Articles of the Association, fulfills the Participant conditions stipulated in the Management Measures and the Listing Rules, and complies with the scope of Participants stipulated in the Incentive Scheme of the Company. The eligibility of such Participants to be a Participant under the Incentive Scheme of the Company is legal and effective.

In light of the above, the Board of Supervisors agreed that the Grant Date of the Reserved Grant shall be 15 November 2021, and that 7,129,000 Restricted Shares will be granted to 880 Participants at the Grant Price of RMB55.50 per share.

III. Trading of Shares of the Company by Participants who are Directors or members of the senior management of the Company within 6 months prior to the Grant Date of the Restricted Shares

None of the Directors or members of the senior management of the Company are Participants of the Reserved Grant under the Incentive Scheme.

IV. Accounting treatment and estimation impact on results

(I) Fair value and determination method of the Restricted Shares

According to relevant requirements of the Accounting Standards for Business Enterprises No. 11 - Share-based Payments, Accounting Standards for Business Enterprises No. 22 - Recognition and Measurement of Financial Instruments and Applicable Cases of Share-Based Payments – Grant of Restricted Shares, the Company selected the Black-Scholes model to calculate the fair value of Type II Restricted Shares, and estimated the Type II Restricted Shares granted with such model. The Grant Date of the Reserved Grant, i.e. 15 November 2021, was determined as the benchmark date. The specific parameters were selected as follows:

1. Subject share price: RMB53.80 per share (the closing price at the Grant Date of the Reserved Grant of the Company);

2. Validity periods are: 1 year and 2 years (the period from the Grant Date of the Reserved Grant to the first attribution date of each period), respectively;

3. Historical volatility: 32.63% and 33.59% (adopted the annualized volatility of Shenwen Second-Class Pharmaceutical Biology Index (申萬生物製品(二級)指數) for last year and last two years, respectively);

4. Risk-free interest rate: 1.50% and 2.10% (adopted the benchmark interest rates of financial institutions for 1-year and 2-year deposits determined by the People's Bank of China, respectively).

(II) Impacts of the implementation of the Restricted Shares on the operating results for each period

The Company determines the fair value of the Restricted Shares at the Grant Date in accordance with the requirements of the accounting standards, and finally recognizes the share-based payment expenses under the Incentive Scheme. The total amount of such expenses, as the incentive cost of the Company's Incentive Scheme, will be recognized over the course of the Incentive Scheme in attribution proportion in installments and will be charged to operating profit or loss.

According to the PRC Accounting Standards, the impacts of the Restricted Shares of the Reserved Grant under the Incentive Scheme on the accounting costs of each period is shown in the table below:

Unit: RMB'0,000

Number of shares under the Reserved Grant ('0,000 shares)	Amortized costs of the Restricted Shares	2021	2022	2023
712.90	6,038.36	349.65	3,999.66	1,689.05

The cost of the Incentive Scheme will be charged to cost expenses. Without taking into consideration of the positive effects of the Incentive Scheme on the Company's operating performance, the Company estimates, based on current information, that the amortization of cost expenses of the Incentive Scheme will have an impact on the net profit of each year within the validity period. However, such impact is not significant. Considering the positive effect of the Incentive Scheme on the Company's operation and development, which will stimulate the enthusiasm of the management and business team, improve operating efficiency and reduce operating costs, the Incentive Scheme will play a positive role in the Company's long-term performance.

The final result of the impacts of the above projected cost amortization on the Company's operating results is subject to the annual audit report issued by the accounting firm.

V. Opinions of the independent financial advisor

Shanghai Xingong Yihe Enterprise Management Consulting Co., Ltd. is of the view that the Company has obtained the necessary approval and authorization in respect of the Restricted Share Incentive Scheme. The determination of the Grant Date, the Grant Price, the Participants and the number of Restricted Shares to be granted, and the authorization relating to the Restricted Share Incentive Scheme comply with relevant laws, regulations and regulatory documents under the Company Law, the Securities Law, the Management Measures, the Listing Rules and the Business Guidelines for Information Disclosure of Companies Listed on the STAR Market No. 4 – Information Disclosure on Equity Incentives. There are no circumstances where the Company fails to meet the requirements of the conditions for the grant of Restricted Shares as stipulated in the 2020 Restricted Share Incentive Scheme.

VI. Conclusion of the legal opinion

King & Wood Mallesons (Shanghai Branch) is of the view that as at the date of the issuance of legal opinion, the Company has obtained necessary approvals and authorization regarding matters in relation to the attribution, the nullification and the Grant at present. The first grant under the Incentive Scheme has entered the first attribution period, from 16 November 2021, and the attribution conditions for the first attribution period have fulfilled. The grounds for nullification and number of shares to be nullified are in compliance with relevant requirements under the Management Measures and the Incentive Scheme. The grant date and the Participants under the Grant are in compliance with relevant requirements under the Management Measures and the Incentive Scheme. The grant conditions for the Grant have fulfilled, and the implementation of the Grant is in compliance with relevant requirements under the Management Measures and the Incentive Scheme.

VII. Online announcement attachments

(I) Independent Opinions of the Independent Non-executive Directors of Shanghai Junshi Biosciences Co., Ltd.* on Relevant Matters of the Fifth Meeting of the Third Session of the Board of Directors;

(II) Verification Opinion of the Board of Supervisors of Shanghai Junshi Biosciences Co., Ltd.* on the List of Participants of the Reserved Grant under the 2020 Restricted Share Incentive Scheme (As at the Grant Date);

(III) Legal Opinion From King & Wood Mallesons (Shanghai Branch) on Relevant Matters on the Fulfillment of Attribution Conditions for the First Attribution Tranche, the Nullification of Restricted Shares and the Grant of Restricted Shares under Reserved Grant Under the First Grant of the 2020 Restricted Share Incentive Scheme of Shanghai Junshi Biosciences Co., Ltd.*;

(IV) Independent Financial Adviser's Report Issued by Shanghai Xingong Yihe Enterprise Management Consulting Co., Ltd. on Relevant Matters on the Reserved Grant of Restricted Shares under the 2020 Restricted Share Incentive Scheme of Shanghai Junshi Biosciences Co., Ltd.*;

(V) List of Participants of the Reserved Grant under the 2020 Restricted Share Incentive Scheme of Shanghai Junshi Biosciences Co., Ltd.* (As at the Grant Date).

Notice is hereby given.

Shanghai Junshi Biosciences Co., Ltd.*
Board of Directors
16 November 2021

* *For identification purpose only*